Mixed Economic System

Learning objectives

- Describe the allocation of resources in mixed economic system
- Describe the term primary, secondary and service (tertiary) sector of production in an economy

Economic Systems

- Planned economy: An economy where the government makes the crucial decisions, land and capital are state-owned and resources are allocated by directives (指令).
- Market economy: An economy where consumers determine what is produced, resources are allocated by the price mechanism and land and capital are privately owned.
- Mixed economy: An economy in which both the private and public sectors play an important role.

Mixed Economy

- Some firms are privately owned (in the private sector) and some are government owned (in the public sector).

- Some price are determines by the market forces of demand and supply and some are set by government

- Both consumers and government influence what is to produce.

Mixed Economy

To gain the advantages of both a market and a planned economy whilst avoiding their disadvantages.

- Some products produced by the private sector may generate choice, increase efficiency and create incentives

- Benefits may also be gained as a result of state intervention

The mixed economic system

In a mixed economy a government can intervene in different markets in an attempt to correct the worst market failures:

✓It can provide useful and essential goods and services rather than profitable ones, e.g. defence, railways and education.

✓It can employ people in public sector organizations and provide financial support (subsidies 补贴) to private sector firms to boost output and employment

✓It can outlaw (宣布…为不合法)/ discourage the production of harmful goods and dangerous activities by imposing taxes.

The mixed economic system

✓It can plan ahead to a greater extent than private sector firms and hence may devote more of its resources to capital goods.

✓It can seek to prevent private sector forms from exploiting (剥削) consumers by charging high prices.

✓It can help vulnerable groups, ensuing that they have access to basic necessities. Create a more even distribution of income by taxing the rich as a high rate.

The mixed economic system

A mixed economy therefore combines the advantages of a market economic system with:

- government ownership and control of some scarce resources

- government interventions to regulate the actions of private sector firms and consumers in some markets

Activity

Discuss if mixed economy is performing better than the other two types of economies ?

- There are risks attached even to a mixed economy and there is no guarantee that is will perform better than the other two types of economies.
- Market failure can occur and government intervention may make the situation worse.

*Government intervention: some problems

By correcting failures in some markets, a government may distort the allocation of resources and cause problems in others:

X High taxes on people and firms can distort market price signals and reduce work incentives

X Land regulations can increase production costs and therefore reduce the profitability and supply of some goods and services

X Public sector organizations may be inefficient and produce poor-quality goods and services because they do not have to make a profit

X Some government spending may be for political or even personal gain (Corruption and bribery 贪污受贿，black box operation)

What is an argument for state intervention in an economy?

a. To encourage the consumption of harmful products
b. To increase the role of the price mechanism in allocating resources
c. To make the distribution of income more uneven
d. To prevent private sector firms from overcharging consumers

Answer: d

The stages of production

Industries and their firms and plants, operate at different stages of production. They are:

- Primary sector
- Secondary sector
- Service/tertiary sector

Primary Sector

The **primary sector** of the economy is the sector of an economy making direct use of natural resources.

Such as agriculture, forestry, fishing and mining, involved in the extraction and collection of raw materials.

Secondary Sector

- The **secondary sector** is involved with the processing of raw materials into semi-finished and finished goods – both capital and consumer goods. It covers manufacturing and construction. E.g. building, clothing and steel industries.

Service (tertiary) Sector

Industries producing services

Such as banking, insurance and tourism.

* Quaternary (Forth) sector: sub-section of the tertiary sector, it covers those service industries which are involved with the collection, processing and transmission of information (IT).

Activity

The following is a list of industries. Decide the sector to which each industry belongs:

a. Chemicals
b. Education
c. Fishing
d. Retailing
e. Telecommunications
f. Transport

Q&A： Compare how resources are allocated in market and mixed economic systems. (Paper 22, Nov. 2010)

In market systems, decisions are made by individual buyers and sellers who act in their own **self-interest**.

Producers aim to maximise their profits and **consumers** aim to satisfy their utility/satisfaction. The **price mechanism** allocates resources through the interaction of the forces of demand and supply so that an equilibrium, market clearing position is established. There is no or very little government intervention.

In mixed economic systems, the **price mechanism** continues to exist in many areas of the economy, but there is a recognition of possible *market failure*. This gives rise to a much greater degree of government involvement to influence the allocation of resources. Sometimes the government will control resources directly and sometimes it will influence the private sector in various ways.

Similar question
(Paper 21, June 2010)

Analyze the differences between a market economy and a mixed economy. (6 marks)

You need to demonstrate a clear knowledge and understanding of these two types of economic system in terms of how they allocate resources differently. There are no explicit references to merit goods, demerit goods, public goods or externalities in the syllabus, but it does refer to the allocation of resources in market and mixed economic systems, the concept of market failure and reasons for its occurrence and an evaluation of the merits of the market system.

A maximum of 3 marks if only one type of economy is considered.

Homework:

1. Explain why most countries have mixed economics (8 marks)

2. Discuss whether people living in a country would benefit if their country’ s economic system changed from a mixed to a market economy. (8 marks)